



Comment on Proposed Part 1523

GENIUS Act Regulations on Payment Stablecoin Issuance, Offer, and Sale

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Disclosure. Independent research. No compensation, direct, contingent, or otherwise, has been received for this comment or for the underlying research. No advisory, consulting, employment, or other compensated relationship exists with any party having a financial interest in the regulatory outcomes discussed. No position is held in any payment stablecoin or issuer. Public-source synthesis throughout. This comment describes no non-public transaction or arrangement.

Scope. This comment addresses Questions 24, 25, 26, 28, 29, 33, 37, 38, 43, 44, 45, 46, 47, 48, and 49.

Statements of fact are current as of September 20, 2026 and are dated where the date carries weight. Two of the foreign frameworks discussed were open for comment on that date.

I. What this comment argues

Proposed Part 1523 turns on three determinations that private parties must make before they act. Who is the issuer of a particular payment stablecoin. Whether a person is located in the United States. Whether a foreign issuer's regulatory status is what it was represented to be on the day it was relied on.

The tests Treasury proposes for the first two are close to right. The difficulty is evidentiary and it is unevenly distributed. The entity limb of "located in the United States" can be checked against public sources; the individual limb describes a fact about a moment that no control observes continuously. The third determination is where the proposal is thinnest, because section 18 status is set by foreign authorities on their own schedules and nothing in the proposal says how fresh a determination has to be or what evidence supports it.

Seven recommendations follow.

1. Anchor "issuer" on the redemption obligation, as proposed, and require the issuer of record, any joint or secondary obligor, and the effective date of that structure to be published and kept current (Questions 24, 25).
1. State that location is assessed on information available at the time of a documented check, with the date and source recorded, rather than implying continuous knowledge of a counterparty's whereabouts (Questions 26, 28, 29).
1. Describe the § 1523.2(c) controls by outcome and by recordkeeping rather than by naming technologies, and reach the distribution arrangement through contractual obligations and issuer-level sampling instead of look-through to ultimate purchasers (Question 38).

1. Permit reliance on another participant's representations only where the representation identifies the foreign register entry relied on, carries the date it was given, and is re-verified on named triggers (Question 43).
1. Decline the per se alternative, which converts geographic controls into strict liability for facts the issuer cannot fully observe and pushes issuance toward structures where the U.S. nexus is less visible (Question 44).
1. Adopt the offshore-transaction concept as a safe harbor under § 1523.4 supplementing § 1523.2(b) through (d), with directed selling efforts doing the analytical work (Questions 45, 46).
1. Publish the OCC register of foreign payment stablecoin issuers and any section 18(b) comparability determinations in machine-readable form, separating the kind of claim, its provenance, and the binding status of the instrument it rests on, each with effective dates and change history.

The seventh recommendation is the one I would press hardest, and Part III explains why the first six do not work without it.

II. Basis for these comments

I work on cross-border stablecoin regulation as an independent researcher. Five working papers form the portfolio this comment draws on.

The analytical framework is **Cross-Border Stablecoin Architecture: A Constraint-Based Analytical Framework. Eight Constraints, Twelve Jurisdictions, and Three Architectural Patterns** (SSRN 6822878, posted May 24, 2026, revised August 5, 2026), which treats cross-border compliance as a composition problem in which constraint pairs interact to exclude architectures that each constraint alone would permit. The jurisdictional reference data is the **Multi-Jurisdiction Stablecoin Compliance Matrix** (SSRN 6788361, posted May 18, 2026, revised July 29, 2026). The directed-edge model is the **Cross-Border Digital-Finance Corridor Atlas** (SSRN 7006718, posted June 27, 2026, revised July 18, 2026), which maps one hundred thirty-two directed corridor edges and applies a destination-first class rule, so that a destination prohibition or the absence of a destination regime dominates an origin-side issuance gap.

Two methodology papers matter for what follows. **Citable by Construction: An Evidence Model for Machine-Readable Comparative Law** (SSRN 7055678, posted July 4, 2026, revised July 24, 2026) sets out a three-axis evidence model and the build-time enforcement that makes it hold. **Cross-Border Stablecoin Feasibility Over Time: A Trigger-Conditioned Forward Map of Pending Regulatory Transitions** (SSRN 7055759, posted July 4, 2026, revised August 4, 2026) conditions feasibility on changes in law rather than forecasting market outcomes.

The Cross-Border Settlement Register is the machine-readable implementation. At version 0.11.0 it holds one hundred fifty-two records across twelve jurisdictions and fifteen regulatory dimensions. Forty-six of those records meet the register's enforced citable test, which requires that the claim be a proposition of law, that the instrument be in force, and that the official text be located and quoted. The remainder is published as a declared backlog rather than presented as verified. Independent second-person review of the citable subset is a separate discipline that is not yet complete, and I say so here rather than leaving it to be discovered.

III. Why these determinations decay, and what that implies for the rule

The register enforces one discipline that bears directly on Part 1523. The only thing allowed to change a corridor's feasibility is a change in law, meaning a commencement, an enactment, or an instrument taking effect. A product launch, an issuer registering, a licence cohort being announced: these are facts about the market, not propositions of law, and they never flip a classification. That separation is what makes a forward map conditional rather than predictive.

Applied to section 18 and proposed § 1523.3(b), the same discipline exposes the problem. Consider what moved in the thirteen months to September 2026.

Hong Kong's Stablecoins Ordinance, Cap. 656, took effect August 1, 2025, and the Hong Kong Monetary Authority granted the first two issuer licences on April 10, 2026, publishing a register that names the licensees. Singapore put draft amendments to the Payment Services Act 2019 out for comment on September 1, 2026, closing October 16, 2026. The European Commission ran its MiCA review from May 20 to September 30, 2026, with third-country issuance and multi-issuance structures open. Mainland China issued Document No. 42 in February 2026, read by practitioners as extending restrictions to offshore entities controlled from the mainland, which means the operative test in that jurisdiction attaches to control rather than to place of incorporation. A domestic market-structure bill that much of the market had priced in failed a Senate cloture vote 49 to 50 on September 15, 2026.

The United States sits inside this problem rather than outside it. The register classifies the United States as a dated regime in transition with two horizons, because the section 18 inbound gate is enacted but not commenced and the Act takes effect on the earlier of January 18, 2027 or one hundred twenty days after final rules under section 20. The timing of this rulemaking therefore moves the date on which the gate opens. A commenter cannot state today which of the two horizons will bind, and neither, at the moment of comment, can Treasury.

That is the general case, not an exception. A determination made in April on this record would have been wrong by September in more than one respect. A rule that asks a private party to establish foreign status and then act on it should say what evidence supports the determination and when it has to be refreshed, and should tie the refresh to changes in law rather than to a calendar interval alone.

IV. Questions 24 and 25: issuer identity in distribution architectures

Keep the redemption obligation as the anchor.

The split contemplated in Question 24 is not an exotic evasion structure. It is the ordinary shape of cross-border distribution, and in one recurring setting it is the architecture the regulatory boundary produces. Where a licensing regime forecloses direct issuance by an entity connected to a particular jurisdiction, the workable patterns reduce to a small set: a directly held subsidiary, a partnership distribution arrangement in which a licensed local issuer carries the redemption obligation while another party supplies branding and customer reach, and a narrower constraint-derived option. That typology is developed in §3 of the Architecture working paper against the Hong Kong licensing posture. Partnership distribution produces precisely the fact pattern Treasury describes, with brand, issuer of record, minting operator, and distributor in different entities and often in different jurisdictions.

Where the two limbs of the proposed definition are performed by different persons, the person carrying the redemption obligation should be the issuer. The public-facing entity is better handled through proposed § 1523.2(d)(2), which already reaches the white label case. That keeps the definition administrable and avoids the perverse result in which a brand owner with no redemption obligation is treated as the issuer while the entity that owes the money is not.

There can be more than one issuer where a parent or affiliate carries a joint or secondary obligation to redeem or repurchase. From the holder's position, that obligation is what makes the instrument a payment stablecoin. A guarantee contingent on wind-down, with no present obligation, should not carry issuer status.

The addition I would ask for is disclosure, because definitional precision is wasted if the facts are not discoverable. Any person issuing, offering, or making available a payment stablecoin to persons located in the United States should publish and keep current the identity of the issuer of record, any joint or secondary obligor, the jurisdictions of issuance, and the date from which that structure applies, with superseded versions retained.

A digital asset service provider cannot discharge its obligations under section 3(b) if it cannot identify the issuer whose status it must check, and today that identification often cannot be made from public material.

V. Questions 26, 28, and 29: located in the United States

The entity limb works. Organization under U.S. law and principal place of business are both checkable against public sources, and the disjunctive formulation matches how corporate domicile is established elsewhere.

The individual limb is different in kind. Physical presence is a fact about a moment. An issuer can know where a person was at onboarding and where they appeared to be when an instruction arrived. Nothing produces continuous knowledge, and a standard read as requiring it will be met by refusing service to anyone carrying a residual U.S. connection.

Treasury should make explicit what the proposal appears to intend. The determination is assessed on information available at the time of a documented check, and an issuer who checked, recorded the result, and had no reason to know otherwise has met the standard. The record should show the date of the check and the source relied on. On principal place of business, allow reliance on a documented determination refreshed on a stated cadence and upon notice of change. Groups restructure quietly, and a rule that exposes issuers to retrospective reclassification of a counterparty's domicile produces over-restriction rather than better diligence.

There is a European precedent on the measurement point that is worth Treasury's attention, and I state it carefully because my own earlier draft stated it loosely. MiCA Article 58 caps the use of non-EU-currency-referencing electronic money tokens as a means of exchange within a currency area. The Article 58(3) ceiling is conjunctive rather than disjunctive: it is reached when the quarterly average of daily transactions exceeds one million in number and €200 million in value, with Article 23 setting the parallel cap for asset-referenced tokens. An earlier piece in my portfolio described the ceiling disjunctively; the register's erratum record carries the correction, and the corrected reading is enforced by a build gate rather than asserted. I mention the correction because it illustrates the substantive point. Getting from that statutory sentence to an operable number required a dedicated technical standard on measurement methodology (EBA/RTS/2024/13) and carve-outs separating means-of-exchange use from store-of-value holdings and from trading flows through venues. Where a rule turns on where a token is used or held, the measurement methodology carries at least as much weight as the threshold, and it is better specified in the rule than reconstructed afterward by each party on its own.

VI. Question 38: what should support a reasonable belief

Describe the controls by outcome and by recordkeeping. Any enumerated list of tools will be stale within a few years, and naming tools invites compliance with the list rather than with the objective.

Three elements carry most of the load. At onboarding, documented evidence of domicile or residence with the date obtained and the source, including jurisdiction of organization and stated principal place of business for entities. At issuance, a check against the most recent evidence with the date of that check recorded, and a rule for what happens when an indicator conflicts with the file, which should trigger review rather than silent resolution either way. Then a refresh cadence, stated rather than left open, with named trigger events such as a change in stated domicile or an access pattern inconsistent with the file.

A self-attestation alone should not suffice, and documentary identification in every case exceeds what the objective requires. An attestation supported by one independent data point is the position I would take, with the record showing which data point was used.

On distribution through intermediaries, do not require look-through to every ultimate purchaser. It cannot be delivered for a transferable instrument, and a requirement that cannot be delivered is satisfied on paper. The alternative is a contractual obligation on the intermediary to apply equivalent checks and to report identified

U.S.-located acquirers, combined with issuer-level sampling under a documented methodology at a stated frequency. Sampling produces an error rate that can be examined. Look-through produces attestations that cannot.

There is direct evidence that obligations binding only at the issuer level migrate to the intermediary layer. The GENIUS Act's yield prohibition in section 4(a)(11) is the clearest instance. David Krause's empirical analysis, discussed at ProMarket in March 2026, put the leakage of economic substance from compliant issuers to compliant intermediaries at roughly 96 cents on the dollar. I analyzed the same boundary problem from the statutory side in **Narrowing the Section 404 Prohibition** (SSRN 6724920, May 6, 2026), which proposes a quantitative test distinguishing user-initiated routing from disguised yield. Whatever view Treasury takes of that debate, the architectural lesson holds here: a geographic control regime that stops at the issuer boundary will be routed around the same way, so the § 1523.2(c) conditions should reach the distribution arrangement and not only the issuer's own systems.

VII. Question 43: reliance on representations, and what Treasury should publish

Reliance should be permitted. The alternative is that every participant re-performs a determination it is not positioned to make, which yields duplicated diligence of uniformly low quality.

Condition it so the representation can be tested. It should be in writing, name the issuer of record and any joint or secondary obligor, identify the authorization relied on including the home-jurisdiction register entry by identifier or state that no public register exists, and carry the date on which it was given. The relying party should re-verify on named triggers and record the date and source of each verification. Where the home jurisdiction maintains a public register naming licensed issuers, checking it costs minutes; Hong Kong's register is the current model and shows both the licensee and the date. Where no such register exists, a representation standing alone should not be a reasonable basis, because there is nothing against which it can be tested.

The recommendation I would press hardest runs the other way. Section 18 contemplates comparability determinations and OCC registration, and those outputs will be consumed by software. A retrieval pipeline, a compliance tool, or a language-model agent reads a field and treats it as the fact it needs, at whatever confidence the prose happens to convey. It cannot supply the caveats a lawyer supplies silently. The evidence model set out in **Citable by Construction** exists for that reason, and three of its distinctions transfer directly to what Treasury publishes.

Separate the kind of claim. A comparability determination is an authored legal conclusion. Whether a given issuer's registration is current is an operational status. Both are useful; conflating them in one field lets a status lapse read as a legal conclusion.

Record the binding status of the instrument each claim rests on. An instrument that is enacted but not commenced is not current law, and a determination that rests on it should say so rather than be read as operative. The United States is itself in that position until the section 20 horizon resolves.

Record provenance strength, meaning whether the entry was confirmed against the official text, partly confirmed, or corroborated by a secondary source, and keep superseded entries retrievable with their dates.

Two further disciplines are worth adopting because they cost little. Where any part of the published record is derived by rule from other fields rather than authored, label it as derived and reconcile it against the authored analysis, treating disagreements as findings rather than shipping the derived layer as asserted truth. And keep a citation firewall: no pinpoint generated or inferred by a tool, every locator verified by a person against the primary instrument. That discipline matters more, not less, as drafting and monitoring are assisted by language models that will produce a plausible citation on request.

A service provider that can check status automatically at the point of listing, and can later show what the record said on that date, is in a position to comply with section 3(b)(2). One that cannot is relying on a representation and a hope.

VIII. Questions 44, 45, and 46: the alternatives

Question 44, the per se rule, should not be the primary approach. It converts good-faith geographic controls into strict liability for facts partly outside the issuer's observation, and the predictable response is withdrawal from any relationship carrying residual risk rather than improved diligence. Treasury would also lose the disclosure relationship that § 1523.2(c) creates, which is the part of the proposal that generates evidence.

Question 45, the offshore-transaction framework, is worth adopting with directed selling efforts as its center of gravity. It reaches the fact pattern the location test handles least well, which is an issuance that is formally offshore but arranged to land in U.S. circulation through an affiliate, distributor, or platform.

Question 46, structure it as a safe harbor under § 1523.4, available to foreign payment stablecoin issuers, supplementing § 1523.2(b) through (d) rather than replacing them. The two frameworks answer different questions. The location test gives entities a checkable domicile rule. The offshore framework gives Treasury a way to reach conduct aimed at the U.S. market wherever the paperwork sits. Trading the first for the second exchanges an administrable test for a fact-intensive one, and importing Regulation S wholesale would carry category structures and distribution compliance periods built for investment instruments into a payments context where they do not fit.

On the flowback concern Treasury raises in this section, the counterfactual matters. The relevant map is directional. In the corridor model I maintain, feasibility is assessed edge by edge with a destination-first rule, so what a closed door in one destination does depends on the inbound gate of the next destination rather than on an aggregate pool. Major currency areas already limit non-domestic-currency stablecoin use as a payments instrument, Article 58 being the clearest instance, and the observable result is segmentation by currency anchor rather than one fungible reservoir. Flowback risk is therefore better assessed against the specific distribution arrangements connecting segments than against a global aggregate that does not behave as a single pool.

IX. Questions 47, 48, and 49: prearranged transactions and directed selling efforts

Question 47: yes. Offshore treatment should not be available where the issuer or a person acting on its behalf knows the transaction has been prearranged with a person in the United States.

Question 48: Treasury's list is sound. Three additions from cross-border distribution practice. Paying a distributor on volume derived from persons located in the United States, whatever the contract calls the payment. Marketing that identifies the United States as an available market in a language other than English, which is common and is routinely missed by monitoring built around English-language material. Contracting with a distributor whose publicly stated market includes the United States without a corresponding restriction in the distribution agreement.

The European experience supplies a useful detail on where controls end up. Since March 2, 2026, custody and transfer of e-money tokens by crypto-asset service providers in the EU require both MiCA authorization and payment institution or electronic money institution authorization, following the EBA's No-Action Letter of June 10, 2025 (EBA/Op/2025/08). Having watched activity migrate, European supervisors placed operative controls at the intermediary layer. Treasury's directed selling efforts concept is the analogous instrument, and it will work only if the conduct list reaches distribution economics rather than advertising alone.

Question 49: adopt Treasury's list of ordinary activities and add one. Publishing dated information about a token's regulatory status, including which entity owes redemption and under which authorization, should not count as a directed selling effort. That publication is what makes the rest of this framework checkable, and issuers should not have to weigh transparency against the risk of being read as conditioning the U.S. market.

X. Questions not addressed

No comment on the definition of "issue" in proposed § 1523.1(c), on bridging and wrapped-token treatment, on the safe harbor for pending applications, or on the regulatory impact analysis. I hold no evidence bearing on those questions.

Annex A. Register entries relied on

Status as of September 20, 2026, with the date each entry was last checked against its source.

Jurisdiction	Measure	Status and key dates	Source	Checked
United States	GENIUS Act commencement under section 20	Enacted, not commenced; effective on the earlier of January 18, 2027 or final rules plus 120 days	[1]	2026-09-17
United States	Proposed Part 1523, this rulemaking	Published August 18, 2026; comments due October 19, 2026; not final	[2]	2026-09-20
United States	Market-structure bill, Senate cloture vote	Failed 49 to 50 on September 15, 2026; not enacted	[3]	2026-09-16
Hong Kong	Stablecoins Ordinance, Cap. 656, and HKMA licensing regime	In force from August 1, 2025	[4]	2026-09-17
Hong Kong	First issuer licences and public register of licensed issuers	Two licences granted April 10, 2026; register published	[5]	2026-09-16
Singapore	MAS single-currency stablecoin framework	SGD or G10 pegs issued in Singapore; MPI licence above S\$5 million; Singapore incorporation	[6]	2026-06-27
Singapore	Proposed amendments to the Payment Services Act 2019	Consultation published September 1, 2026, closing October 16, 2026; not enacted	[7]	2026-09-19
European Union	MiCA Articles 23 and 58 usage ceilings	In force; Article 58(3) ceiling conjunctive, quarterly average of daily transactions above one million in number and €200 million in value; measurement under EBA/RTS/2024/13	[8]	2026-09-20
European Union	EBA No-Action Letter on PSD2 and MiCA interplay	EBA/Op/2025/08, June 10, 2025; dual authorization for EMT custody and transfer from March 2, 2026	[9]	2026-09-20

Jurisdiction	Measure	Status and key dates	Source	Checked
Mainland China	Document No. 42, February 2026, as read by practitioners	Reported as extending restrictions to offshore entities controlled by domestic entities; practitioner reading, not an official translation	[10]	2026-09-16

Sources

- [1] GENIUS Act, sections 18 and 20; U.S. Department of the Treasury release on the section 3 proposal
- [2] Federal Register, 91 FR 53368, August 18, 2026, docket TREAS-DO-2026-0496
- [3] CoinDesk, report of the Senate cloture vote, September 15, 2026
- [4] Hong Kong Monetary Authority, implementation of the regulatory regime for stablecoin issuers, July 29, 2025
- [5] Charltons, first HKMA stablecoin issuer licences; HKMA register of licensed stablecoin issuers
- [6] Payment Services Act 2019; MAS Single-Currency Stablecoin Regulatory Framework, finalized August 15, 2023
- [7] Monetary Authority of Singapore, consultation on legislative amendments for stablecoin regulation, September 1, 2026
- [8] Regulation (EU) 2023/1114, Articles 23 and 58; EBA Final Report on Draft RTS (EBA/RTS/2024/13)
- [9] European Banking Authority, No-Action Letter on PSD2 and MiCA interplay (EBA/Op/2025/08), June 10, 2025
- [10] Han Kun, analysis of Document No. 42, February 2026

Annex B. Working papers referenced

Cross-Border Stablecoin Architecture: A Constraint-Based Analytical Framework. Eight Constraints, Twelve Jurisdictions, and Three Architectural Patterns. SSRN 6822878, May 24, 2026, revised August 5, 2026.

Multi-Jurisdiction Stablecoin Compliance Matrix: A Living Reference for Cross-Border Stablecoin and Tokenized Fund Operations. SSRN 6788361, May 18, 2026, revised July 29, 2026.

Cross-Border Digital-Finance Corridor Atlas: A Directed Edge-Level Companion to the Multi-Jurisdiction Stablecoin Compliance Matrix. SSRN 7006718, June 27, 2026, revised July 18, 2026.

Citable by Construction: An Evidence Model for Machine-Readable Comparative Law. Three Orthogonal Axes, an Enforced Citable Subset, and Computed-versus-Authored Reconciliation. SSRN 7055678, July 4, 2026, revised July 24, 2026.

Cross-Border Stablecoin Feasibility Over Time: A Trigger-Conditioned Forward Map of Pending Regulatory Transitions. SSRN 7055759, July 4, 2026, revised August 4, 2026.

Narrowing the Section 404 Prohibition: A Quantitative Framework for Distinguishing User-Initiated Routing from Disguised Yield. SSRN 6724920, May 6, 2026, revised June 23, 2026.

Method and limitations

Each register entry carries two dates, the date from which the rule applies and the date the entry was last checked against its source, and is tagged by the kind of claim it makes, the strength of its provenance, and the binding status of the instrument it rests on. Entries in Annex A were checked on the dates shown. Forty-six of the register's one hundred fifty-two records currently meet the enforced citable test; the rest is published as a

declared backlog. Independent second-person review is a separate discipline that is not yet complete, so Annex A should be read as sourced, dated, and build-checked rather than independently reviewed. Where a statement rests on a practitioner reading rather than an official text, the annex says so.

This comment is research. It is not legal advice, it assesses no particular issuer or arrangement, and it makes no claim about whether any arrangement complies with the Act. The United States and Asia corridor entries are available to Treasury staff in whatever form is useful.